

Brightwater Capital Partners IV, L.P.

Limited Partnership Agreement | Vyntic token: lpa

1. Formation; Name; Term

The Partnership is formed as a Delaware limited partnership under the name Brightwater Capital Partners IV, L.P. The Partnership shall continue until the tenth anniversary of the final closing, subject to two one-year extensions approved by the Advisory Committee.

The provisions of this Section shall be interpreted consistently with the definitions, limitations and approval mechanics set forth elsewhere in this Agreement.

Formation; Name; Term procedures are documented in internal memoranda, reviewed by finance, legal and compliance personnel where applicable, and retained in the Firm's books and records. The General Partner may modify these procedures in good faith to reflect market practice, investor requirements, legal developments or portfolio-company facts and circumstances.

The General Partner expects to apply judgment when implementing formation; name; term provisions. Such judgment may include consideration of timing, materiality, confidentiality, available information, administrative burden and whether the relevant matter is consistent with the Partnership's investment objectives.

2. Purpose

The purpose of the Partnership is to make, hold, manage and dispose of control-oriented investments in North American industrial and business services companies and to engage in related activities.

The provisions of this Section shall be interpreted consistently with the definitions, limitations and approval mechanics set forth elsewhere in this Agreement.

Purpose procedures are documented in internal memoranda, reviewed by finance, legal and compliance personnel where applicable, and retained in the Firm's books and records. The General Partner may modify these procedures in good faith to reflect market practice, investor requirements, legal developments or portfolio-company facts and circumstances.

The General Partner expects to apply judgment when implementing purpose provisions. Such judgment may include consideration of timing, materiality, confidentiality, available information, administrative burden and whether the relevant matter is consistent with the Partnership's investment objectives.

3. Capital Commitments

The target aggregate commitments are \$1,250,000,000, and the General Partner may accept commitments up to a hard cap of \$1,500,000,000. The General Partner and its affiliates shall commit not less than 2.0% of aggregate commitments.

The provisions of this Section shall be interpreted consistently with the definitions, limitations and approval mechanics set forth elsewhere in this Agreement.

Capital Commitments procedures are documented in internal memoranda, reviewed by finance, legal and compliance personnel where applicable, and retained in the Firm's books and records. The General Partner may modify these procedures in good faith to reflect market practice, investor requirements, legal developments or portfolio-company facts and circumstances.

The General Partner expects to apply judgment when implementing capital commitments provisions. Such judgment may include consideration of timing, materiality, confidentiality, available information, administrative burden and whether the relevant matter is consistent with the Partnership's investment objectives.

4. Investment Period

The investment period shall begin on the initial closing and end on the fifth anniversary thereof, unless earlier terminated under this Agreement.

The provisions of this Section shall be interpreted consistently with the definitions, limitations and approval mechanics set forth elsewhere in this Agreement.

Investment Period procedures are documented in internal memoranda, reviewed by finance, legal and compliance personnel where applicable, and retained in the Firm's books and records. The General Partner may modify these procedures in good faith to reflect market practice, investor requirements, legal developments or portfolio-company facts and circumstances.

The General Partner expects to apply judgment when implementing investment period provisions. Such judgment may include consideration of timing, materiality, confidentiality, available information, administrative burden and whether the relevant matter is consistent with the Partnership's investment objectives.

5. Management Fee

During the investment period, the Partnership shall pay a management fee equal to 2.0% per annum of aggregate commitments. Thereafter, the fee shall equal 1.5% per annum of invested capital, calculated quarterly in advance.

The provisions of this Section shall be interpreted consistently with the definitions, limitations and approval mechanics set forth elsewhere in this Agreement.

Management Fee procedures are documented in internal memoranda, reviewed by finance, legal and compliance personnel where applicable, and retained in the Firm's books and records. The General Partner may modify these procedures in good faith to reflect market practice, investor requirements, legal developments or portfolio-company facts and circumstances.

The General Partner expects to apply judgment when implementing management fee provisions. Such judgment may include consideration of timing, materiality, confidentiality, available information, administrative burden and whether the relevant matter is consistent with the Partnership's investment objectives.

6. Fee Offset

Fifty percent (50%) of transaction fees, monitoring fees, directors fees, break-up fees and similar fees received by the General Partner, Manager or their affiliates from portfolio companies shall offset the management fee otherwise payable by the Partnership.

The provisions of this Section shall be interpreted consistently with the definitions, limitations and approval mechanics set forth elsewhere in this Agreement.

Fee Offset procedures are documented in internal memoranda, reviewed by finance, legal and compliance personnel where applicable, and retained in the Firm's books and records. The General Partner may modify these procedures in good faith to reflect market practice, investor requirements, legal developments or portfolio-company facts and circumstances.

The General Partner expects to apply judgment when implementing fee offset provisions. Such judgment may include consideration of timing, materiality, confidentiality, available information, administrative burden and whether the relevant matter is consistent with the Partnership's investment objectives.

7. Distributions; Waterfall

Distributions shall be made on a whole-fund European waterfall. Limited Partners shall first receive return of contributed capital and an 8% preferred return, followed by a 100% catch-up to the General Partner until the General Partner has received 20% of aggregate profits, and thereafter 80% to Limited Partners and 20% carried interest to the General Partner.

The provisions of this Section shall be interpreted consistently with the definitions, limitations and approval mechanics set forth elsewhere in this Agreement.

Distributions; Waterfall procedures are documented in internal memoranda, reviewed by finance, legal and compliance personnel where applicable, and retained in the Firm's books and records. The General Partner may modify these procedures in good faith to reflect market practice, investor requirements, legal developments or portfolio-company facts and circumstances.

The General Partner expects to apply judgment when implementing distributions; waterfall provisions. Such judgment may include consideration of timing, materiality, confidentiality, available information, administrative burden and whether the relevant matter is consistent with the Partnership's investment objectives.

8. Clawback

The General Partner shall be subject to a customary after-tax clawback intended to return excess carried interest following liquidation of the Partnership.

The provisions of this Section shall be interpreted consistently with the definitions, limitations and approval mechanics set forth elsewhere in this Agreement.

Clawback procedures are documented in internal memoranda, reviewed by finance, legal and compliance personnel where applicable, and retained in the Firm's books and records. The General Partner may modify these procedures in good faith to reflect market practice, investor requirements, legal developments or portfolio-company facts and circumstances.

The General Partner expects to apply judgment when implementing clawback provisions. Such judgment may include consideration of timing, materiality, confidentiality, available information, administrative burden and whether the relevant matter is consistent with the Partnership's investment objectives.

9. Recycling

The General Partner may recall and recycle distributions representing cost basis, bridge financing proceeds and certain other amounts for a period of 24 months after the original investment date, subject to the limitations set forth herein.

The provisions of this Section shall be interpreted consistently with the definitions, limitations and approval mechanics set forth elsewhere in this Agreement.

Recycling procedures are documented in internal memoranda, reviewed by finance, legal and compliance personnel where applicable, and retained in the Firm's books and records. The General Partner may modify these procedures in good faith to reflect market practice, investor requirements, legal developments or portfolio-company facts and circumstances.

The General Partner expects to apply judgment when implementing recycling provisions. Such judgment may include consideration of timing, materiality, confidentiality, available information, administrative burden and whether the relevant matter is consistent with the Partnership's investment objectives.

10. Organizational Expenses

The Partnership shall bear organizational and offering expenses up to an aggregate cap of \$2,500,000. Expenses in excess of such cap shall be borne by the Manager or its affiliates.

The provisions of this Section shall be interpreted consistently with the definitions, limitations and approval mechanics set forth elsewhere in this Agreement.

Organizational Expenses procedures are documented in internal memoranda, reviewed by finance, legal and compliance personnel where applicable, and retained in the Firm's books and records. The General Partner may modify these procedures in good faith to reflect market practice, investor requirements, legal developments or portfolio-company facts and circumstances.

The General Partner expects to apply judgment when implementing organizational expenses provisions. Such judgment may include consideration of timing, materiality, confidentiality, available information, administrative burden and whether the relevant matter is consistent with the Partnership's investment objectives.

11. Key Persons

The Key Persons are Elaine Hart and Daniel Roache. A Key Person Event shall occur if fewer than two Key Persons devote substantially all of their business time to the affairs of the Partnership and related Brightwater funds, subject to cure and Limited Partner Advisory Committee waiver rights.

The provisions of this Section shall be interpreted consistently with the definitions, limitations and approval mechanics set forth elsewhere in this Agreement.

Key Persons procedures are documented in internal memoranda, reviewed by finance, legal and compliance personnel where applicable, and retained in the Firm's books and records. The General Partner may modify these procedures in good faith to reflect market practice, investor requirements, legal developments or portfolio-company facts and circumstances.

The General Partner expects to apply judgment when implementing key persons provisions. Such judgment may include consideration of timing, materiality, confidentiality, available information, administrative burden and whether the relevant matter is consistent with the Partnership's investment objectives.

12. No-Fault Removal

The General Partner may be removed without cause only upon approval of Limited Partners holding at least 80% of aggregate commitments, excluding interests held by the General Partner and its affiliates.

The provisions of this Section shall be interpreted consistently with the definitions, limitations and approval mechanics set forth elsewhere in this Agreement.

No-Fault Removal procedures are documented in internal memoranda, reviewed by finance, legal and compliance personnel where applicable, and retained in the Firm's books and records. The General Partner may modify these procedures in good faith to reflect market practice, investor requirements, legal developments or portfolio-company facts and circumstances.

The General Partner expects to apply judgment when implementing no-fault removal provisions. Such judgment may include consideration of timing, materiality, confidentiality, available information, administrative burden and whether the relevant matter is consistent with the Partnership's investment objectives.

13. Advisory Committee

The Advisory Committee shall review conflicts, valuation matters referred by the General Partner, investment-period extensions, certain affiliate transactions and other matters set forth in this Agreement.

The provisions of this Section shall be interpreted consistently with the definitions, limitations and approval mechanics set forth elsewhere in this Agreement.

Advisory Committee procedures are documented in internal memoranda, reviewed by finance, legal and compliance personnel where applicable, and retained in the Firm's books and records. The General Partner may modify these procedures in good faith to reflect market practice, investor requirements, legal developments or portfolio-company facts and circumstances.

The General Partner expects to apply judgment when implementing advisory committee provisions. Such judgment may include consideration of timing, materiality, confidentiality, available information, administrative burden and whether the relevant matter is consistent with the Partnership's investment objectives.

14. Excuse and Exclusion

A Limited Partner may be excused from a particular investment where participation would reasonably be expected to violate law, regulation or written policy accepted by the General Partner.

The provisions of this Section shall be interpreted consistently with the definitions, limitations and approval mechanics set forth elsewhere in this Agreement.

Excuse and Exclusion procedures are documented in internal memoranda, reviewed by finance, legal and compliance personnel where applicable, and retained in the Firm's books and records. The General Partner may modify these procedures in good faith to reflect market practice, investor requirements, legal developments or portfolio-company facts and circumstances.

The General Partner expects to apply judgment when implementing excuse and exclusion provisions. Such judgment may include consideration of timing, materiality, confidentiality, available information, administrative burden and whether the relevant matter is consistent with the Partnership's investment objectives.

15. Transfers

No Limited Partner may transfer interests without the prior written consent of the General Partner, which may be withheld in accordance with this Agreement and applicable law.

The provisions of this Section shall be interpreted consistently with the definitions, limitations and approval mechanics set forth elsewhere in this Agreement.

Transfers procedures are documented in internal memoranda, reviewed by finance, legal and compliance personnel where applicable, and retained in the Firm's books and records. The General Partner may modify these procedures in good faith to reflect market practice, investor requirements, legal developments or portfolio-company facts and circumstances.

The General Partner expects to apply judgment when implementing transfers provisions. Such judgment may include consideration of timing, materiality, confidentiality, available information, administrative burden and whether the relevant matter is consistent with the Partnership's investment objectives.

16. Books; Reports

The Partnership shall maintain books and records and provide quarterly unaudited reports, annual audited financial statements and tax information as reasonably determined by the General Partner.

The provisions of this Section shall be interpreted consistently with the definitions, limitations and approval mechanics set forth elsewhere in this Agreement.

Books; Reports procedures are documented in internal memoranda, reviewed by finance, legal and compliance personnel where applicable, and retained in the Firm's books and records. The General Partner may modify these procedures in good faith to reflect market practice, investor requirements, legal developments or portfolio-company facts and circumstances.

The General Partner expects to apply judgment when implementing books; reports provisions. Such judgment may include consideration of timing, materiality, confidentiality, available information, administrative burden and whether the relevant matter is consistent with the Partnership's investment objectives.

17. Indemnification

The Partnership shall indemnify the General Partner, Manager and covered persons to the fullest extent permitted by law for actions taken in good faith on behalf of the Partnership.

The provisions of this Section shall be interpreted consistently with the definitions, limitations and approval mechanics set forth elsewhere in this Agreement.

Indemnification procedures are documented in internal memoranda, reviewed by finance, legal and compliance personnel where applicable, and retained in the Firm's books and records. The General Partner may modify these procedures in good faith to reflect market practice, investor requirements, legal developments or portfolio-company facts and circumstances.

The General Partner expects to apply judgment when implementing indemnification provisions. Such judgment may include consideration of timing, materiality, confidentiality, available information, administrative burden and whether the relevant matter is consistent with the Partnership's investment objectives.

18. Confidentiality

Limited Partners shall keep confidential all non-public information regarding the Partnership, portfolio companies and other Limited Partners, subject to customary exceptions.

The provisions of this Section shall be interpreted consistently with the definitions, limitations and approval mechanics set forth elsewhere in this Agreement.

Confidentiality procedures are documented in internal memoranda, reviewed by finance, legal and compliance personnel where applicable, and retained in the Firm's books and records. The General Partner may modify these procedures in good faith to reflect market practice, investor requirements, legal developments or portfolio-company facts and circumstances.

The General Partner expects to apply judgment when implementing confidentiality provisions. Such judgment may include consideration of timing, materiality, confidentiality, available information, administrative burden and whether the relevant matter is consistent with the Partnership's investment objectives.

19. Amendments

This Agreement may be amended by the General Partner with the consent of Limited Partners holding a majority in interest, except for amendments requiring a higher threshold or adversely affecting a specific Limited Partner disproportionately.

The provisions of this Section shall be interpreted consistently with the definitions, limitations and approval mechanics set forth elsewhere in this Agreement.

Amendments procedures are documented in internal memoranda, reviewed by finance, legal and compliance personnel where applicable, and retained in the Firm's books and records. The General Partner may modify these procedures in good faith to reflect market practice, investor requirements, legal developments or portfolio-company facts and circumstances.

The General Partner expects to apply judgment when implementing amendments provisions. Such judgment may include consideration of timing, materiality, confidentiality, available information, administrative burden and whether the relevant matter is consistent with the Partnership's investment objectives.

20. Governing Law

This Agreement shall be governed by the laws of the State of Delaware.

The provisions of this Section shall be interpreted consistently with the definitions, limitations and approval mechanics set forth elsewhere in this Agreement.

Governing Law procedures are documented in internal memoranda, reviewed by finance, legal and compliance personnel where applicable, and retained in the Firm's books and records. The General Partner may modify these procedures in good faith to reflect market practice, investor requirements, legal developments or portfolio-company facts and circumstances.

The General Partner expects to apply judgment when implementing governing law provisions. Such judgment may include consideration of timing, materiality, confidentiality, available information, administrative burden and whether the relevant matter is consistent with the Partnership's investment objectives.